AFM REVISION DETAILED INDEX

Chapter Name	Topic	Page No.
MERGERS, ACQUISITIONS & RESTRUCTURING	Basic Concepts	6
	Swap Ratio/ Exchange Ratio	
	Synergy	
	A. Is M&A deal going to be beneficial ?	7
	Format to calculate Benefit to the Shareholders	
	A. When Shares offer	8
	B. When Cash offer	
	Post-merger EPS | Combined EPS | EPS after Merger	9
	Post Merger MP & Market Capitalization	
	B. What should be the Share Exchange Ratio ?	10
	Maximum Swap Ratio	
	Swap Ratio formula	
	Minimum Swap Ratio	
	C. M&A - Miscellaneous terminologies	15
	Value of Acquisition	
	Value of Original Shareholders	
	Purchase Price Premium Offered or % Premium offered	
	Types of Market Capitalization	
	Purchase Consideration or Cost of Acquisition	
	D. DEMERGER	20
	E. Restructuring	
	F. Corporate Actions	21
	Right Issue	
	Stock Split	22
	Bonus Issue or Stock Dividend	23
	Equity Buyback or share repurchase or Ownership Restructuring	

SECURITY VALUATION & BUSINESS VALUATION	Valuation Techniques	**42**
	A. Assets Based Valuation	**43**
	Net Assets value	
	Net Realizable value	
	Net Replacement value	
	B. Dividend/ Earnings based valuation	
	Earnings Capitalisation Model | Earnings Value of the Company	
	Fair value method / Berliner method	**44**
	Super Profits Method	
	Dividend Capitalization model	
	A. No Growth Model	
	B. Constant Growth Model	
	C. Variable Growth rates / Two - stage growth rates / Three - stage growth model	**46**
	Earnings Growth Model	**50**
	Walter's Model	
	H Model	**51**
	C. Cash - Flow Based Approaches	**52**
	Free Cash Flows to the Firm approach [FCFF]	
	Free Cash Flows to the Equity approach [FCFE]	
	ALCAR Model / Shareholder Value Analysis	**54**
	D. Relative Valuation Technique	**55**
	PE Multiple Approach	
	PEG Multiple	
	Price to Book-value multiple or P/BV multiple	**56**
	Yield based approach	
	E. Other Valuation Techniques	
	Economic Value Added	
	Market Value Added	**58**
	Chop Shop Model	**59**
	Enterprise Value	
	F. Valuation of Startups	**60**
	Berkus Approach	

SECURITY VALUATION & BUSINESS VALUATION	Cost - to - Duplicate Approach	**61**
	Comparable Transactions Method	
	Scorecard valuation method	
	First Chicago method	**62**
	Venture Capital Method	**63**
	G. Valn of Non-going Concern/ Valn of distressed companies	**64**
	Modified Discounted Cash Flow Valuation	
	DCF Valn + Distress Value	
	Adjusted Present Value Model	
	Relative Valuation	
START UP FINANCE	Some of the Innovative Ways to Finance a Startup	**93**
	Pitch Presentation	
	Unicorn	**94**
	Modes of Financing for Startups	**95**
	VC Investment Process	**97**
	Startup India Initiative	**98**
	Succession Planning in Business	**99**
PORTFOLIO MANAGEMENT	A. Calculate Total Risk & Returns	**101**
	Returns % of an Individual Security	
	If single period (say 1 year horizon)	
	If Multiple Period	
	Risk of an Individual Security	**103**
	Stock Selection - Based on Risk & Return considerations	
	Return on Portfolio [R_p or μ_p]	**104**
	Risk of Portfolio [σ_p]	**105**
	Measuring Risk of Portfolio comprising of more than 2 securities	**108**
	B. Constructing a Portfolio	**109**
	Minimum Variance Portfolio/Minimum Risk Portfolio	
	The Efficient Frontier	**110**
	Corner Theorem/ Critical Line Method	**111**
	The Capital Allocation line V s.T he Capital market line	

PORTFOLIO MANAGEMENT	C. Interpretation of Total Risk	**112**
	Probabilistic Interpretation of Risk - Using Z Values	
	Concept of Dominance	**114**
	D. Classification of Total Risk	
	Systematic Risk [β]	**115**
	Investment Decisions Using β	**116**
	Beta of Portfolio [β_P]	**117**
	Characteristic Line	**118**
	Classification of Total Risk of a Single Security	**120**
	Classification of Total Risk of Portfolio	
	Harry Markowitz Vs. Sharpe Model | Single Index Model	**121**
	Expected Return E(r) vs Required Return Rj	
	E. Sharpe's Optimal Portfilio	**122**
	F. Miscellanoues Topics	**123**
	Security Market Line	
	Alpha	**125**
	Factor Model | Arbitrage Pricing Theory Model [APTM]	
	APTM or Factor Model V s. Multi factor Macro economic Model	**126**
	G. Portfolio Management Strategies / Portfolio Rebalancing Strategies	
	Constant Amount Plan	
	Constant Ratio Plan	**127**
	Variable Ratio Plan	
	Constant Proportion Portfolio Insurance / Investment Policy [CPPI]	
	H. Portfolio / Mutual Funds Performance Evaluation	**129**
	I. Corporate Beta	**130**
	Type 1 Unlevered (aka Ungeared) Firm having single project	
	Type 2 Unlevered Firm having many project	
	Type 3 Levered Firm having Single project	
	Type 4 Levered Firm with many projects	
	Type 5 Calculating ß of an Unlisted Firm using ß of a Listed Firm	**131**
	Type 6 Divisional Beta / The Pure play Technique / The Hamada Formula	

RISK MANAGEMENT	VaR [Value at Risk]	**160**
	Interpretation of VAR	
	Calculation of VaR	
	How to convert VaR from One time frame ⇌ Another time frame	**162**
	How to change the confidence level of VaR	
MUTUAL FUNDS	A. NAV [Net Assets Value]	**165**
	Compute NAV	
	i Format to calculate closing NAV using closing balances	
	ii Format to calculate Closing NAV using Opening NAV	**166**
	Expense Ratio	
	Entry load & Exit load	
	B. Return on MF	**167**
	Various Types of MF Plans	
	Return on MF	
	Dividend reinvestment plan working	**168**
	Return to be earned by a MF to match Investor's expectations	**169**
	Reverse calculation of NAV	**170**
	Dividend Equalization Reserve	**171**
	C. MF Performance Evaluation	**172**
	Active Returns	
	Tracking Error	
	Information Ratio	
	D. Hedge funds	
	Hedge Funds / Portfolio mngt. service - fee structure	
MANAGEMENT OF BONDS PORTFOLIO	Valuation of Bonds	**187**
	Fair Value of bond	
	B. Types of Yield	**190**
	Bond Yield	
	Yield to maturity (YTM) / Redemption Yield %	

MANAGEMENT OF BONDS PORTFOLIO	Yield to call (YTC)	**191**
	Yield to put (YTP)	
	Current Yield%	
	Total Yield%	
	RYTM i.e. Realized Yield to Maturity	
	Discount Yield %	**192**
	Bond Equivalent Yield %	
	Money Market Yield %	
	Holding period yield%	
	Discounting @ Reqd. Rate of Return vs. YTM % OR Fair Price vs Actual Market Price of Bond	**193**
	Clean Price vs. Dirty Price	
	C. Convertible Bonds	**195**
	Conversion Ratio	
	Conversion Value or Stock Value of the Bond	
	Conversion Premium	
	Floor Value / Straight Value	**196**
	Premium Over Straight Value	
	% Downside Risk	
	Conversion Parity Price	
	Favourable Income Differential	
	Premium Pay-back Period	**197**
	Fair Value Convertible of Bond vs. Floor Value of Convertible Bond	
	Market Conversion Price	
	Valuation of Warrants	
	D. Bond Refunding Decisions	**198**
	E. Risks	**199**
	Types of Risk	
	Measurement of Risk	**194**
	Bond Price-yield relationship	
	Duration & Modified Duration/ Volatility%	
	Duration of Bond Portfolio	**204**
	Convexity Adjustment	**205**
	Bond Immunization	**208**
	F. Money Market Instruments	**209**

DERIVATIVES ANALYSIS & VALUATION	Basic Building Blocks	**221**
	Derivatives ?	
	Forward vs Futures	
	Time Value of Money	**222**
	Types of Margin	
	Bid Rate & Ask Rate	**223**
	Uses of Derivatives	
	Speculation	
	Arbitrage	
	Determination of Fair Futures Price	**224**
	Case I: Underlying Stock Providing No Income	**225**
	Case II: Underlying asset providing income-Dividend income given in absolute terms (₹)	
	Case III : Underlying asset providing income in yield% terms	**226**
	Commodities	**229**
	Miscellaneous aspects	**230**
	Mathematics of e^x	
	Mathematics of Ln(x)	**231**
	Stock Lending & Borrowing Scheme [SLBS]	**232**
	Hedging Master Chart	**233**
	Concept 1: Hedging a stock - Using stock futures	**234**
	Concept 2: Hedging a Stock - Using Index Futures	
	Concept 3: Hedging an entire Portfolio - by buying / selling share in spot	**235**
	Concept 4: Hedging an entire portfolio - Using Index Futures	**237**
	Hedging commodities using Commodity Futures	**238**
	Options Contract	**239**
	Basic Building Blocks	
	Types of Options	
	Options Terminologies	

DERIVATIVES ANALYSIS & VALUATION	Style of Option - Based on Their Exercisability	**240**
	Speculation	
	Arbitrage	
	Fair Value of an Option / Fair Option Price / Fair Option Premium	
	Arbitrage Propects - On Maturity date	**241**
	Pay-off Graphs on Maturity Date	
	Arbitrage Prospects - Before Maturity Date	**244**
	Put - Call Parity Theorem	
	The Binomial Model - Risk Neutral Method	**245**
	One Period Binomial Model	
	Two Period Binomial Model/ Multiple Period Binomial Model	**247**
	How to establish a Perfectly Hedged Position/ Delta Hedging	**249**
	The Black-Scholes Model	**252**
	Hedging	
TECHNICAL ANALYSIS	Decision Using Data Analysis	**268**
	Efficient Market Hypothesis | Efficient Market Theory	**269**
	Test of Weak form Efficiency	**270**
	Run Test	
	Auto Correlation / Serial Correlation	**271**
	Filter Rules Test	
	Challenges to the Efficient Market Theory	
	Misconception about Efficient Market Theory	
FOREIGN EXCHANGE EXPOSURE & RISK MANAGEMENT	Basics of Foreign Exchange	**276**
	Types of Quotes	
	Various ways to write a quotation	
	Two - way quote	**277**
	Steps to find relevant rate (bid or ask ?) & relevant amount ?	
	Spread	**278**
	Converting a two - way Direct Quote $\rightleftharpoons$ Indirect Quote	
	Cross Currency rate	**279**
	Telephone Format	**280**
	Interbank Rates & Merchant Rates	**281**
	Format of Quotation - as Per FEDAI Rules	

FOREIGN EXCHANGE EXPOSURE & RISK MANAGEMENT	Types of Rates	**282**
	PIPS [Price interest point or Percentage in point]	
	Swap Points	
	Telephone format Vs. Swap points	
	Broken Period Forward Contract	**283**
	Currency Appreciation / Depreciation	
	Types of Risk	**285**
	Techniques of Risk Management	**286**
	Do Nothing	
	Home Currency Invoicing	
	Leading & Lagging	
	Exposure Netting	**287**
	Bilateral Netting	
	Multilateral Netting	**288**
	Matching	**289**
	Price Variation	
	Asset and Liability Management	
	Forward Contract	**290**
	Option Forward Exchange Rate Contract	
	Money Market Hedging	**291**
	Case of an Exporter	**292**
	Case of an Importer	**293**
	Currency Futures	**294**
	Currency Options	**297**
	Fate of Forward Contract	**298**
	Honour	
	Cancellation of Forward Contract	**299**
	Extension of Forward Contract	
	Early Delivery	**300**
	Automatic Cancellation	**301**
	Fate of Forward Master Chart	**302**

FOREIGN EXCHANGE EXPOSURE & RISK MANAGEMENT	Arbitrage Opportunities	**303**
	Interest rate parity theorem	
	Overlapping Exchange Rates / Two-Point Arbitrage / Geographical Arbitrage	**306**
	Triangular Arbitrage / Three Point Arbitrage / Cross Currency Arbitrage	**307**
	Purchasing Power Parity Theorem (PPPT)	**309**
	Absolute form aka Law of one Price	
	Relative form {it is just like Interest Rate Parity Theorem}	
	International Fisher Effect	**310**
	Nostro, Vostro & Loro Account	
INTERNATIONAL FINANCIAL MANAGEMENT	International Working Capital Management	**337**
	International Sources of Finance	**338**
	International Investments	
	Case (i) If exchange rates are given	
	Case (ii) If App/ Depn% in currency is given	**339**
	International Fund Raising	**340**
	Case (i) Borrowings	
	Case (ii) Equity / GDR issue	**341**
	International Capital Budgeting	**342**
	Decision making for Foreign Company developing Product (software) in India	**343**
ADVANCED CAPITAL BUDGETING DECISIONS	Effects of Inflation	**354**
	Techniques of Risk Analysis in Capital Budgeting	**357**
	Statistical Techniques	
	Probability	
	Variance or Standard Deviation	**358**
	Coefficient of Variation	
	Case 1) When NPV's are directly given in the Q	**359**
	Case 2) When Q mentions that these are the ONLY possible stream of CF's (eg Best case, Normal case, worst case)	
	Case 3) When CF's of next year are conditional upon previous year CF's (aka Moderately dependent CF's)	**361**
	Case 4) When Independent / Uncorrelated CF's	**362**

ADVANCED CAPITAL BUDGETING DECISIONS	Case 5) When Dependent / Perfectly Correlated CF's	**363**
	How to calc Prob. of Worst or Prob. of best outcome when CF's are Correlated vs Not Correlated	
	Conventional Techniques	**364**
	Risk Adjusted Discount Rate	
	Certainty Equivalent Approach or Alpha Approach (α)	
	Others Techniques	
	Sensitivity Analysis	
	Variety 1: Calculate Sensitivity of a Variable that leads to '0' NPV (aka Break-even approach)	**365**
	Variety 2: When % adverse change in variable is given in the Q	**367**
	Scenario Analysis	**369**
	Simulation	
	Cash flow Utility Approach	**370**
	Decision Tree Techniques	
	Real options in capital budgeting	**371**
	Option to Expand	
	Option to Abandon	**372**
	Timing Option	**373**
	Advanced Cap Budg + Derivatives	**375**
	The binomial model - Risk neutral method to calc value of real options in capital budgeting	
	The Black scholes model for calculating value of Real Option in capital budgeting	**377**
	Value of the Patent	**378**
	Replacement Decisions	
	Projects with Unequal life	**380**
	Optimum replacement cycle	**381**
	When to replace the old machine	**382**
	Adjusted Present Value	**386**

INTEREST RATES RISK MANAGEMENT	Types of Interest rates	**408**
	How to Manage Interest Rate Risk	
	Swaps	
	Interest Rate Swaps	
	Case (i) Trans formation of Floating $\rightleftharpoons$ Fixed rate liab/ Asset	**409**
	Case (ii) Absolute advantage argument	
	Case (iii) Comparative advantage argument	**411**
	Quality Spread Differential	**412**
	Interpretation of Swap quotation when Bid Ask rates are given	
	Varieties of Swaps	
	Swaptions	**413**
	Pricing of Swaps	**414**
	Currency Swaps	
	Interest Rate Derivatives	**416**
	Bootstrapping	**417**
	Types of Yield Curve	
	Forward Rate Agreement	
	(i) Speculation & (ii) Hedging	
	(iii) Arbitrage	**419**
	Interest Rate Guarantee	**421**
	Interest Rate Futures	**422**
	(i) Cash Settled	
	(ii) Physically Settled	**423**
	Interest Rate Options	**424**
	Interest Rate Cap | Cap Option | Call Option	
	Interest Rate Floor	**425**
	Interest Rate Collar	**426**

SECURITIZATION	Concept and Definition	**440**
	Features of Securitization	
	Benefits of Securitization	
	Participants in Securitization	**441**
	Mechanism of Securitization	
	Problems in Securitization	**442**
	Securitization Instruments	
	Pricing of The Securitized Instruments	**443**
	Risks in Securitization	
	Blockchain	**445**
	Applications of Blockchain	**446**
	Risks associated with Blockchain	
	Meaning of Tokenization	
	Tokenization and Securitization	
FINANCIAL POLICY & CORPORATE STRATEGY	Strategic Financial Decision Making Frame Work	**447**
	Strategy at Different Hierarchy Levels	
	Financial Planning	**448**
	Interface of Financial Policy and Strategic Management	
	Balancing Financial Goals vis-a-vis Sustainable Growth	**449**
	Advanced Role of CFO in Various Matters Including Value Creation	
	External Funding Requirement	**450**

THEORY

MERGERS, ACQUISITION & RESTRUCTURING	Benefits of Merger / Rationale for Mergers and Acquisitions	**453**
	Reasons for M&A Failures	
	How Mergers & Acquisitions and Business Restructuring Unlocks the Value | Reasons	
	Take Over Strategies	
	Defensive Tactics	**454**
	Special Purpose Acquisition Companies	
	Reverse Merger	
	Divestiture	**455**
	Ownership Restructuring	**456**
	Cross-Border M&A	
SECURITY VALUATION BUSINESS VALUATION	Fundamental Analysis	**457**
	Role and Responsibilities of Valuers	**458**
	Role of Valuers	
	Responsibilities of Valuers	
	Precautions Need to be Taken by A Valuer Before Accepting any Valuation Assignment	**460**
PORTFOLIO MANAGEMENT	Assumptions of CAPM	**461**
	Principles of Active Portfolio Strategy (APS)	
	Various Types of Alternative Investments	
	Features of Alternative Investments	
	Advantages of CAPM	**462**
	Limitations of CAPM	
	Real Estates	
	Gold	**463**
	Distressed securities	
RISK MANAGEMENT	Various 'Types of Risk' a Business Organization face	**464**
	Evaluation of Financial Risk	**465**
	Appropriate Methods for Identification and Management of Financial Risk	
	Features of VAR	**466**
	Application of VAR	**467**

MUTUAL FUNDS	Trail Commission	**467**
	Side - Pocketing in Mutual Funds	
	Classification of Mutual Funds	
	Direct Plans in Mutual Funds	**470**
	Types of Schemes	
	Advantages of Mutual Fund	**472**
	Drawbacks of Mutual Fund	
	Evaluation of Mutual Funds	**473**
	Role of Fund Managers in Mutual Funds	**474**
	Role of Flls in Mutual Funds	
MANAGEMENT OF BONDS PORTFOLIO	Fixed Income Portfolio Management Strategies	**474**
	Money Market	**476**
DERIVATIVES ANALYSIS & VALUATION	Assumptions of Black - Scholes Model	**477**
	Contango & Backwardation	
	Option Greeks	
	Exotic Options	**478**
	Commodity Derivatives	**479**
	Commodity Swaps	
	Weather Derivatives	
	Electricity Derivatives	**480**
	Uses/Advantages of Stock Index Futures	**481**
	Credit Derivatives	**482**
	Collateralized Debt Obligations (CDOs)	
	Credit Default Swaps (CDSs)	**483**
	Lessons from Derivative Mishaps	**485**

TECHNICAL ANALYSIS	Technical Analysis	**486**
	Principles of Technical Analysis	
	Theories of Technical Analysis	
	Charting Techniques	**488**
	Market Indicators	
	Support and Resistance Levels	**489**
	Interpreting Price Patterns	
	Evaluation of Technical Analysis	**491**
	Fundamental Analysis vs Technical Analysis	
FOREIGN EXCHANGE EXPOSURE & RISK MANAGEMENT	Role of Swift in Foreign Exchange	**491**
INTERNATIONAL FINANCIAL MANAGEMENT	International Sources of Finance	**492**
	International Financial Centre (Gift City)	**493**
	Sovereign Funds	**494**
ADVANCED CAPITAL BUDGETING	Real Options	**495**
INTEREST RATES RISK MANAGEMENT	Various Types of Interest Rate Risk Faced by Companies / Banks	**496**
	Hedging Interest Rate Risk - Asset and Liability Management (ALM)	**497**